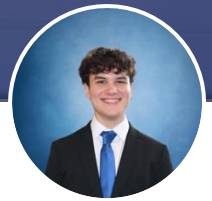
# Croonwolter&dros – The InsightX Solution

*Becoming an industry leader in the Netherlands*



Lucas



Jeffery



Josephina



Erin

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# Our team was asked to answer the following questions:

*Situation Overview*

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***Key Question***

How can CWD leverage AI to build long-term competitiveness?

***Tasks***

1. How can CWD best utilize AI in its operations?
2. How can CWD implement AI solutions successfully?
3. What operational, financial, and strategic steps are needed to execute the strategy?

***Complications***

Staff shortages and an aging workforce — Decentralized workforce — Previous negative experiences integrating new technologies

# An overview of the InsightX approach

*Executive Summary*

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***Key Question***

How can CWD leverage AI to build long-term competitiveness?

***Action Plan: The InsightX approach***

| INTEGRATE | OPTIMIZE |
| --- | --- |
| Focus on internal AI applications with Microsoft Dynamics 365 | Introduce the Insight Program to roll out enterprise AI quickly and responsibly |

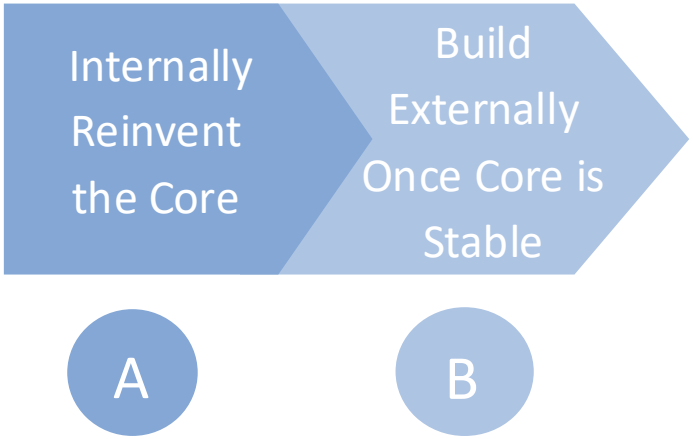
***Core Strategic Outcomes***

- +20% Employee Lifetime Value
- €14M Project NPV
- >5% EBIT Margin by 2029

# Where Should CWD Focus Its AI Vision? Internally or Externally?

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**McKinsey's Dual Transformation Model**




Without Transformation A, Transformation B is difficult

**Conservative Nature:** If engineers and managers don't adopt and trust AI internally, it's difficult to deliver credible AI solutions to clients

**Create Value Internally:** Increase internal productivity and generate tangible metrics and case examples to show clients

Before CWD can sell AI-powered excellence, it must internalize it

# Persona: Engineer Erik Represents the Employees We Can Better Serve

*A 55-year-old Infrastructure Engineer symbolizes CWD's workforce—skilled, loyal, and ready for change.*

**Customer Profile**



**Engineer Erik**

**Age:** 55
**Experience**: 27 years at CWD
**Role:** Senior Infrastructure Engineer – Tunnel Safety Systems

## Key Aspirations

**Frustrations:**
Manual Excel logs, paper checklists, no channel to suggest improvements

**Mindset:**
"I know Excel these systems inside-out, but I'm being left behind

**Aspiration**
Leave a legacy and mentor young engineers

CWD's people are ready — they just need direction and tools

**Takeaway:** Employees like Erik are ready for responsibly innovation and change

# What Are Our Current Roadblocks with AI and How Do We Address Them?

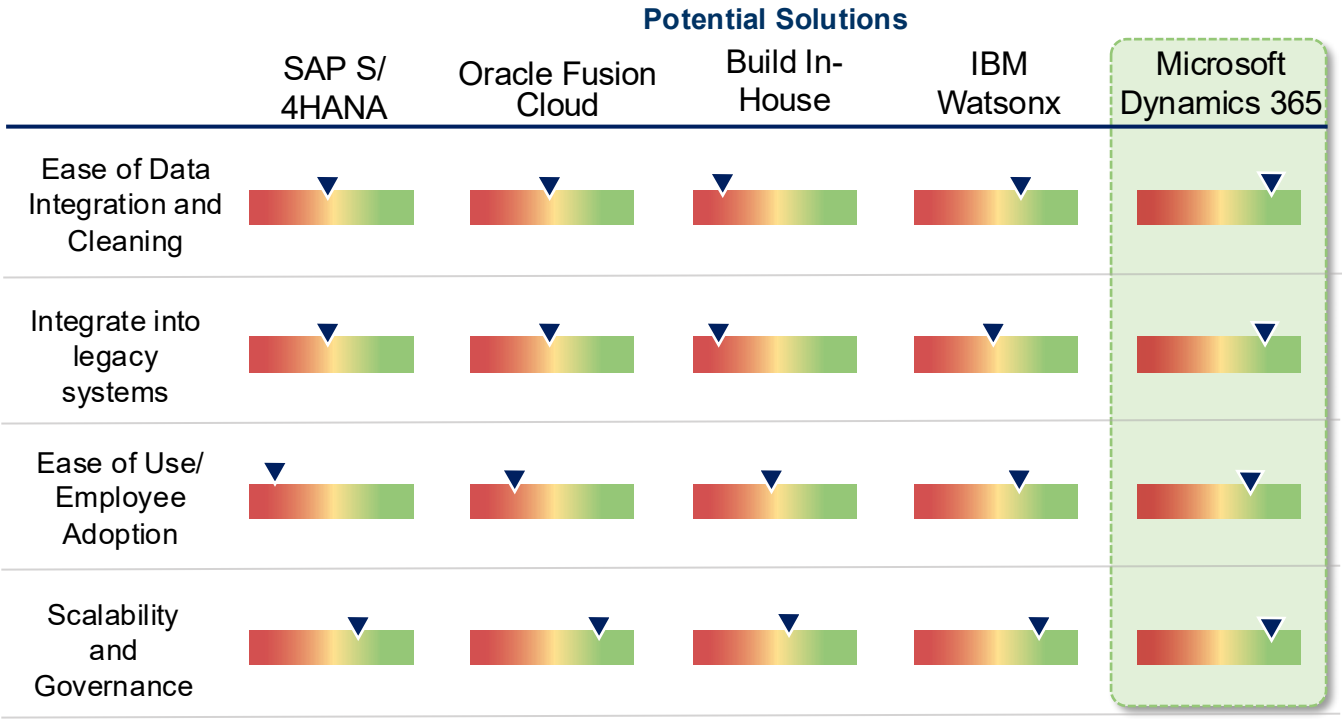
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*Alternative Solutions Analysis*

**Current AI Roadblocks**

- Poor Data Quality & Processes
- Fragmented Legacy Systems
- Difficulty to Use and Low Adoption

**Potential Solutions**

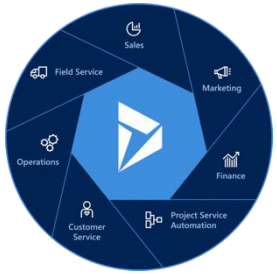



**Takeaway:** Microsoft Dynamics 365 best addresses CWD's current AI roadblocks

# Microsoft Dynamics 365: The Digital Core for CWD's AI Transformation

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## What it is




**A unified cloud platform that integrates and enables automation, real-time analytics, and AI-driven decision-making**

## Key Features

**Integration**: Connects legacy systems through Boomi

**Copilot AI Assistant:** Automates manual tasks and acts as tool

**Real-Time Dashboards:** KPIs on efficiency, uptime, and costs

**Scalable Cloud Infrastructure:** Secure and flexible

## Benefits

1. **Fragmented Legacy Tools** → Unified on one ERP/CRM platform
2. **Manual Workflows** → Automated through AI copilots
3. **Productivity and AI Adoption** → Central dashboards showing real-time metrics

**Takeaway:** Dynamics 365 provides CWD with a single, AI-enabled digital platform to drive measurable productivity and future growth

# Introducing Microsoft Dynamics 365 — The Digital Core for CWD's AI Transformation

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**What it is**

**real-time analytics, and AI-driven decision-making**

**Key Features**

**Integration**: Connects legacy

**Scalable Cloud Infrastructure:** Secure and flexible

**Benefits**

dashboards showing real-time metrics

## *Case Study: Dynamics 365 Client*

A manufacturing firm used Dynamics 365 to replace fragmented systems, manual processes, and poor data visibility with a unified ERP and AI-driven analytics

Result: **+40% productivity** and **+25% revenue growth** within a year

**Takeaway:** Dynamics 365 provides CWD with a single, AI-enabled digital platform to drive measurable productivity and future growth

# Engineer Erik's Journey – Identifying Internal Barriers to AI Adoption

*Customer Analysis*

**Customer Profile**



**Engineer Erik**

**Age:** 55
**Experience**: 27 years at CWD
**Role:** Senior Infrastructure Engineer – Tunnel Safety Systems

***No coordinated data system***

*Implement Microsoft Dynamics 365*

***No channel to share AI or automation ideas***

*How can CWD collect and assess AI ideas safely?*

***Little engagement with AI team***

*How can engineers and the AI team collaborate better?*

***Lack of cross-functional knowledge sharing***

*How can CWD share AI learnings across divisions?*

***Limited training on new tech***

*How can CWD upskill and retain experienced staff?*

# InsightX

*Becoming an Industry Leader in the Netherlands*

## INTEGRATE

How can CWD best utilize AI in its operations?

---

Focus on internal AI applications with Microsoft Dynamics 365

### Key Takeaways

- Focus on Internal AI
- Understand Current Digital Situation
- Implement Dynamic 365

# Building a Responsible AI Foundation for CWD

*Adopting HBR's OPEN Framework to guide innovation and governance*

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**Key Analysis**

CWD manages **critical infrastructure** - innovation errors can be catastrophic.

**Examples:**

- **Smart grids**: citywide blackouts
- **Water systems**: contamination risks
- **Rail control:** collisions

Enable safe, consistent, and value-driven AI adoption across CWD

**Implementation – The OPEN Framework**

An HBR framework for **innovating** and **scaling** AI responsibly

1. **Outline:**
   Define the purpose of AI initiatives
2. **Partner:**
   Collaborate across functions and with external partners
3. **Experiment:**
   Run small, structured pilots to learn quickly and fail safely
4. **Navigate:**
   Scale successful pilots and continuously adjust based on feedback

**The OPEN Framework enables CWD to innovate confidently—balancing experimentation with the safety and reliability required in critical infrastructure.**

# Introducing Project INSIGHT

*A structured approach to enable safe, scalable AI innovation across CWD.*

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| Outline | Partner | Experiment | Navigate |
|---|---|---|---|
| Create an **INSIGHT Engine**, an online Dropbox for teams to submit AI application ideas | Select 1 project from each division and **embed an AI engineer** within the team | Run the pilot project with **continuous feedback** to the embedded AI engineer | Scale successful pilots across divisions through quarterly **INSIGHT Showcases** |

**Key Takeaway**: Project INSIGHT uses HBR's OPEN Framework to make AI adoption structured, safe, and people-driven — turning CWD's craftsmanship into continuous innovation.

# Engineer Erik's Journey – Identifying Internal Barriers to AI Adoption

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*Customer Analysis*

**Customer Profile**



**Engineer Erik**

**Age:** 55
**Experience**: 27 years at CWD
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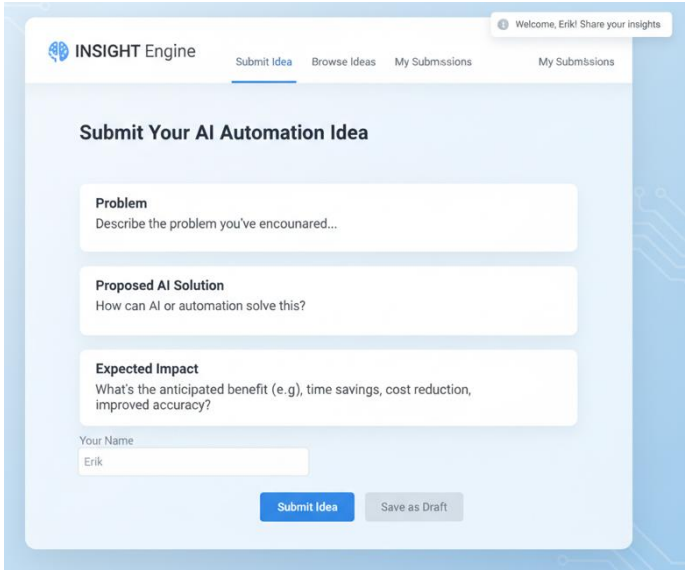
***Limited training on new tech***

*How can CWD upskill and retain experienced staff?*

# O | Outline – Create the INSIGHT Engine

*Turning employee ideas into structured, purpose-driven innovation.*

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**Description**

1. **What is it?**
   The INSIGHT Engine is an internal online platform for any employees to submit an AI-use case idea

2. **Erics Submission:**
   "Use AI to scan IoT sensor data and predict ventilation fan malfunctions before they occur."

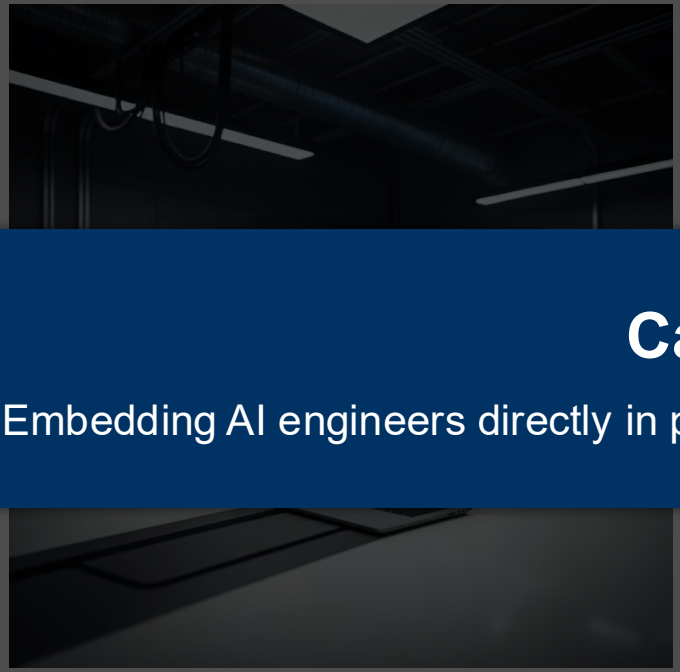
3. **Submissions will be evaluated on:**
   1. Feasibility (technical and data availability
   2. Impact (time savings, safety improvement, energy efficiency)
   3. Alignment (CWD's mission: Intelligence through Technology)

The INSIGHT Engine turns employee frustration into focused, data-driven innovation opportunities.

# P | Partner – Embed AI Engineers in Each Division

*Pairing field expertise with digital intelligence*

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**Description**

1 **Selection:**
The AI Office selects one top idea per division (Infra, Industry, Utility) each quarter.

## Case Study: Intuit

Embedding AI engineers directly in product teams **improved productivity** by **15%** (HBR 2025)

team provides field data and real-world insight

4 **Collaboration:**
Collaboration builds mutual understanding – AI is a tool, not a threat

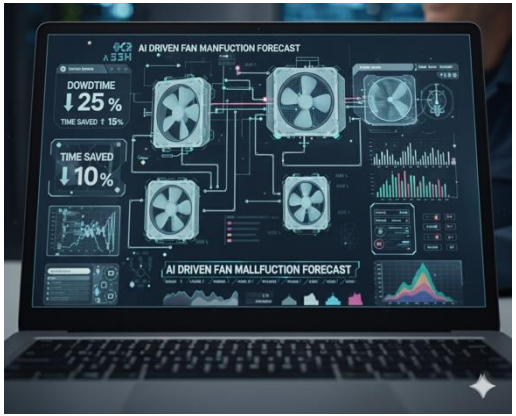
Embedding AI experts with engineers merges **domain knowledge** and **technical capability** - CWD's true competitive edge

# E | Experiment – Run Safe, Measurable Pilots

*Test fast, learn safely, and deliver measurable results.*

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## What it is




Pilots run **12 weeks**

## Description

Focus on **small, controlled experiments** with clear KPIs.

**Weekly progress updates** between Erik's team and the AI engineer.

**Feedback loop** ensures models are practical and understandable.

Builds confidence through **early success** - not abstract theory.

## Erik's Experience

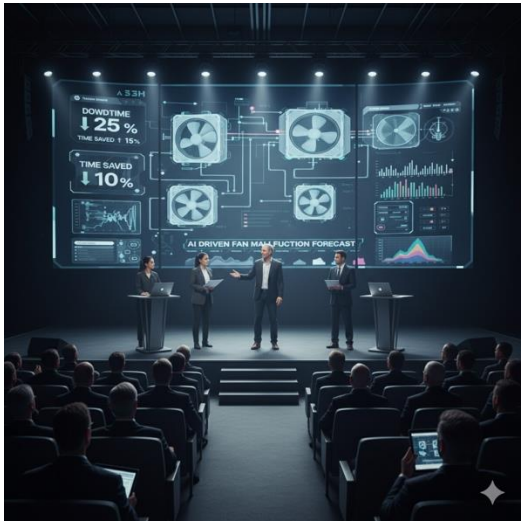
The pilot **predicts fan malfunctions** a week before failure - saving **15% maintenance hours** and **improving safety**

**Takeaway:** Safe, small-scale pilots build trust in AI and prove tangible value early.

# N | Navigate – Scale and Share Learnings through INSIGHT Showcases

*Turning pilot success into continuous improvement across CWD*

**INSIGHT Showcases:**




**Description:**

- **Quarterly cross-functional** events where pilot project teams present results, live demos, and key learnings to peers
- **Successful pilots are standardized** into the **CWD AI Module Library -** a central repository enabling reuse, faster deployment, and continuous improvement.
- **Erik's predictive maintenance pilot** wins **Most Impactful Project -** now part of the AI Library and may be scaled to the entire Industry division

INSIGHT Showcases **institutionalizes** innovation - transforming one engineer's idea into enterprise-wide improvement.

# CWD Talent Recruitment and Mentionship Program

*Pairing veteran engineers with young recruits to preserve craftsmanship and build digital fluency.*

**Recruitment:**
Attend university STEM related events at top Dutch universities and showcase advances in technology and cutting-edge AI projects to attract new talent

**Mentor**



**What you need to get there**

1. System logic and tunnel safety protocols
2. Hands-on troubleshooting and risk management

1. Data analytics and automation basics
2. Modern collaboration tools (Teams, Power BI)

**Mentee**



**Takeaway:** Both generations upskill — bridging craftsmanship and coding.

# Engineer Erik's Journey – Identifying Internal Barriers to AI Adoption

*Customer Analysis*

**Customer Profile**



**Engineer Erik**

**Age:** 55
**Experience**: 27 years at CWD
**Role:** Senior Infrastructure Engineer – Tunnel Safety Systems

***No coordinated data system***

*Implement Microsoft Dynamics 365*

***No channel to share AI or automation ideas***

*Create a digital dropbox*

***Little engagement with AI team***

*Embed AI Engineers*

***Lack of cross-functional knowledge sharing***

*Create Townhalls*

***Limited training on new tech***

*Add mentorship sessions*

# CWD INSIGHT

*Becoming an Industry Leader in the Netherlands*

## OPTIMIZE

How can CWD implement AI solutions successfully?

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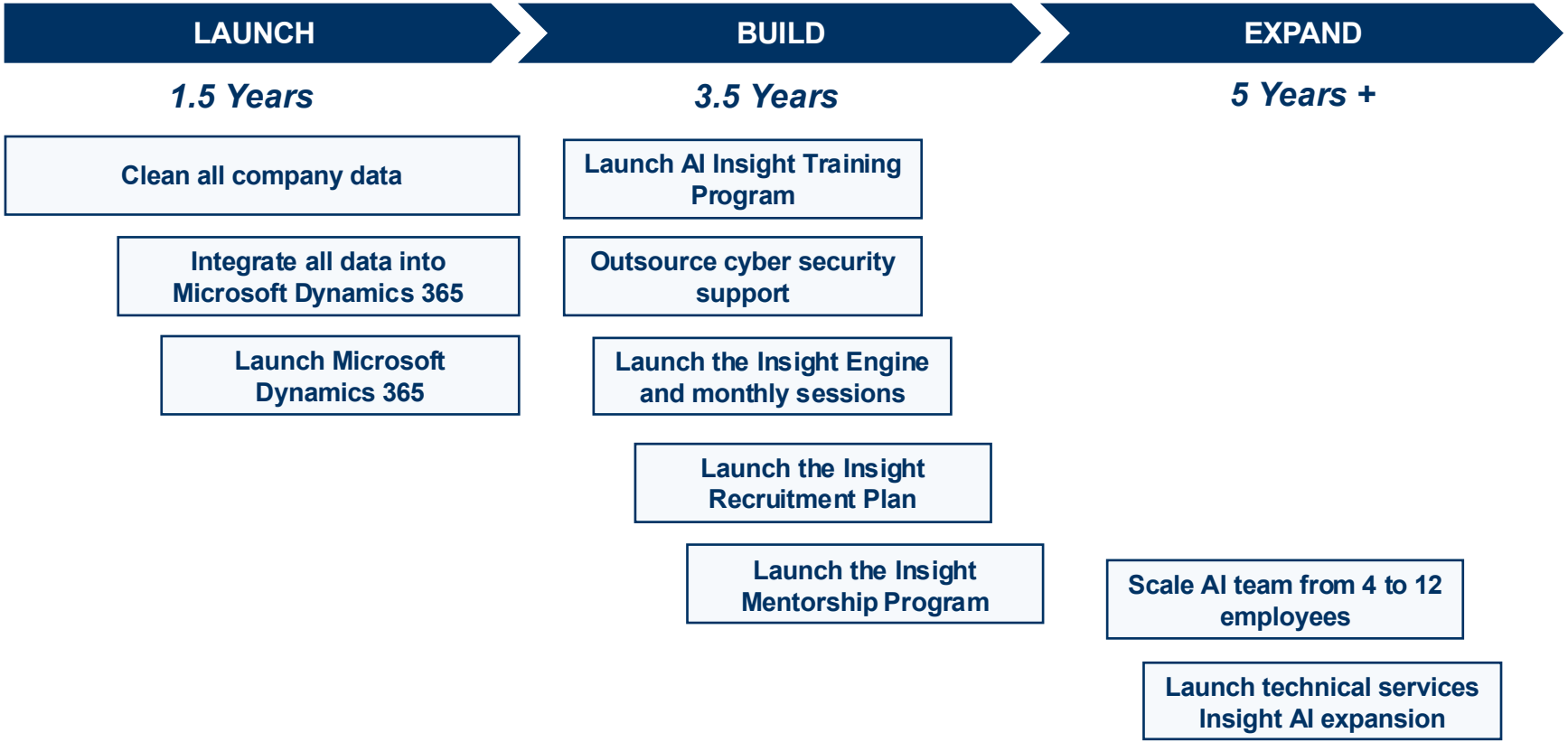
Introduce the Insight Program to roll out enterprise AI quickly and responsibly

### Key Takeaways

- Create a responsible AI-development pipeline using INSIGHT Engine
- Embed AI developers in teams and create quarterly townhalls
- Foster new skill development through mentorship programs

# What can we be doing in the next 10+ years to propel CWD

*Implementation plan*



# What can we be doing in the next 10+ years to propel CWD

*Implementation plan*

**LAUNCH** | BUILD | EXPAND

***1.5 Years***

**Clean all company data**

**Integrate all data into Microsoft Dynamics 365**

**Launch Microsoft Dynamics 365**

**Launch Microsoft Dynamics 365**
1.5 years

***Data Cleaning:*** *To be performed by the AI team*

***Integration and launch:*** *To be supported by an outsourced implementation partner*






# What can we be doing in the next 10+ years to propel CWD

*Implementation plan*

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**LAUNCH** | **BUILD** | **EXPAND**

*1.5 Years* | *3.5 Years* | *5 Years +*

**Launch the AI Insight Training Program**
3.5 Years

***Training Sessions:*** *2 virtual teaching sessions taught by the AI team and outsourced implementation partner.*

***Technical Support:*** *To be provided by outsourced implementation support.*

***Additional Support:*** *To be provided through the Insight Mentorship Program.*

- **Launch AI Insight Training Program**
- **Outsource cyber security support**
- **Launch the Insight Engine and monthly sessions**
- **Launch the Insight Recruitment Plan**
- **Launch the Insight Mentorship Program**

**Launch the Insight Recruitment Plan**
3.5 Years

***Recruiting events attended:*** *6 each year*

TU Delft

TU/e EINDHOVEN UNIVERSITY OF TECHNOLOGY

UNIVERSITY OF TWENTE.

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# What can we be doing in the next 10+ years to propel CWD

*Implementation plan*

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**LAUNCH** | **BUILD** | **EXPAND**

**5 Years +**

**Calm's Mission:** *"Calm's mission is to support everyone on every step of their mental health journey."* ***KPI***

**Launch technical services Insight AI expansion**
5+ Years

***Priority 1:*** *Residential Construction*

***Priority 2:*** *Utilities*

***Priority 3:*** *Infrastructure*

**Scale AI team from 4 to 12 employees**

**Launch technical services Insight AI expansion**

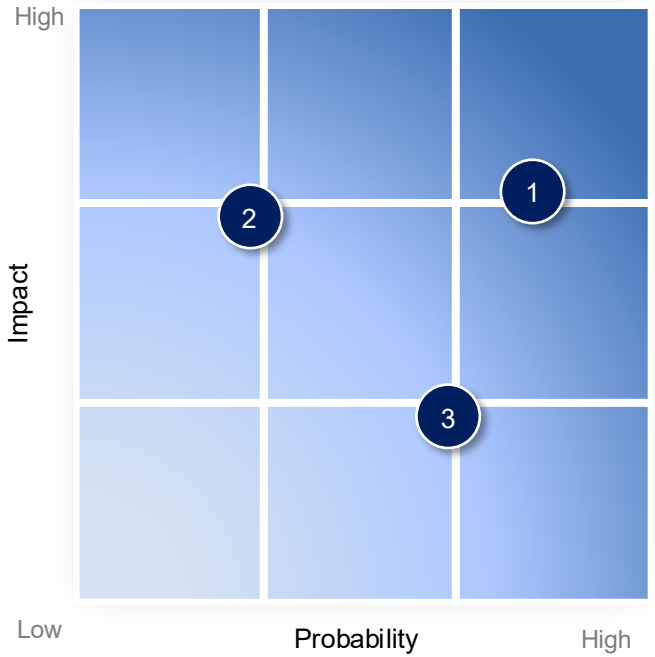
**Takeaway:** Residential Construction offers the joint highest market size, best AI opportunities, and strongest internal fit with CWD.

# The InsightX solution is prepared for future hurdles

*Risk and Contingencies Analysis*

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### Risk Assessment Matrix




| | Risk | Mitigation |
|---|---|---|
| 1 | Aging workforce isn't willing to adopt new technology | Training and mentorship with younger employees |
| 2 | Integration complexity | Phased implementation with constant feedback loops |
| 3 | Poor data quality reducing productivity gains | Data Quality Audits for any data that is being entered into the new system |

# Understanding the impact of the InsightX approach

*Summary of outcomes*

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***Drivers***

- +20% Employee Productivity
- 80% Adoption after 5 years
- 25% Decrease in Employee Onboarding time
- €5.5M Migration and Implementation Cost

***Key Performance Indicators***



**+20%** Employee Lifetime Value



**€14M** Project NPV



**>5%** EBIT Margin by 2029

# An overview of the InsightX approach

*Executive Summary*

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***Key Question***

How can CWD leverage AI to build long-term competitiveness?

***Action Plan: The InsightX approach***

| INTEGRATE | OPTIMIZE |
| --- | --- |
| Focus on internal AI applications with Microsoft Dynamics 365 | Introduce the Insight Program to roll out enterprise AI quickly and responsibly |

***Core Strategic Outcomes***

- +20% Employee Lifetime Value
- €14M Project NPV
- >5% EBIT Margin by 2029

# Employee Lifetime Value Model

*Appendix A*

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| EMPLOYEE LTV | | | |
|---|---|---|---|
| Current annual turnover | € | 789,248,000 | Source: Annual Report |
| Number of employees | | 2,912 | Source: Annual Report |
| Annual revenue / employee | € | 271,033 | |
| Gross margin | | 20% | |
| Avg Employee cost | € | (66,686) | Source: Annual Report |
| Annual net value / employee | € | 120,893 | |
| Average tenure (years) | | 6.5 | |
| Employee acquisition cost | € | (100,029.19) | |
| **Employee LTV** | **€** | **504,846.71** | |

| | |
|---|---|
| Cost of Capital | 7.5% |

| | | |
|---|---|---|
| Productivity increase (GM uplift) | | 20% |
| Salary increase | | 5% |
| Increase in employee tenure | | 15% |
| Revised gross margin | | 24% |
| Revised employee cost | € | (70,020) |
| Revised average tenure | | 7.5 |
| Investment per employee | € | 11,030 |
| Revised annual net value / employee | € | 135,068 |
| **Revised Existing Employee LTV** | **€** | **606,142** |
| *Uplift in Employee LTV* | *€* | *101,295* |
| *Uplift in Employee LTV* | | *20%* |

Source: Case Study (Ray BizTech improved productivity by 40%)

| | |
|---|---|
| Average length through tenure | 5 |

**SENSITIVITY: UPLIFT IN EMPLOYEE LTV**

| Productivity increase \ Increase in Employee Tenure | 10% | 15% | 20% | 25% | 30% |
|---|---|---|---|---|---|
| 5% | 13% | 18% | 22% | 27% | 31% |
| 10% | 14% | 18% | 23% | 28% | 32% |
| 15% | 14% | 19% | **24%** | 29% | 33% |
| 20% | 15% | 20% | 25% | 30% | 34% |
| 25% | 16% | 21% | 26% | 31% | 35% |

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# Productivity Ramp Model

*Appendix B*

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| PRODUCTIVITY RAMP UPLIFT | FY2024 | FY2023 | FY2022 | FY2021 | FY2020 |
|---|---|---|---|---|---|
| Average number of employees | 2879 | 2832 | 2732 | 2745 | 2748 |
| Number of employees at the end of the year | 2912 | 2820 | 2739 | 2734 | 2743 |
| Workforce growth | 92 | 81 | 5 | -9 | |
| Turnover (15% attrition) | 443 | 436 | 420 | 422 | |
| New hires | 535 | 517 | 425 | 413 | |
| Rate of change | 3.5% | 21.5% | 2.9% | | |

| | | |
|---|---|---|
| New hires per year | | 554 |
| Monthly revenue / employee | € | 22,586 |
| Revised gross margin % | | 24% |
| Time to ramp (months) | | 12 |

Source: Industry study (New engineers can take up to 12 months to ramp up)

| Baseline productivity ramp | | Month 1 | Month 2 | Month 3 | Month 4 | Month 5 | Month 6 | Month 7 | Month 8 | Month 9 | Month 10 | Month 11 | Month 12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| % of Full Productivity | | 11% | 16% | 25% | 35% | 47% | 59% | 71% | 80% | 87% | 92% | 95% | 97% |
| Lost value | € | 4,841 | € 4,526 | € 4,087 | € 3,523 | € 2,870 | € 2,197 | € 1,584 | € 1,084 | € 713 | € 455 | € 285 | € 176 |
| PV of value lost | € | 4,811 | € 4,470 | € 4,012 | € 3,437 | € 2,782 | € 2,116 | € 1,516 | € 1,032 | € 674 | € 428 | € 266 | € 164 |
| *PV of value lost during ramp-up* | € | *25,709* | | | | | | | | | | | |

| | | |
|---|---|---|
| % Reduction in ramp time | | 25% |

| Revised productivity ramp | | Month 1 | Month 2 | Month 3 | Month 4 | Month 5 | Month 6 | Month 7 | Month 8 | Month 9 | Month 10 | Month 11 | Month 12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| % of Full Productivity | | 12% | 22% | 35% | 51% | 67% | 80% | 89% | 94% | 97% | 98% | 99% | 100% |
| Lost value | € | 4,749 | € 4,248 | € 3,523 | € 2,643 | € 1,777 | € 1,084 | € 616 | € 334 | € 176 | € 92 | € 47 | € 24 |
| PV of value lost | € | 4,720 | € 4,196 | € 3,458 | € 2,578 | € 1,723 | € 1,044 | € 589 | € 318 | € 167 | € 86 | € 44 | € 23 |
| *PV of value lost during ramp-up* | € | *18,947* | | | | | | | | | | | |

| | | |
|---|---|---|
| **Value per employee from improved ramp** | **€** | **6,762** |

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# Productivity Gain Model

*Appendix C*

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| | FY2027 | FY2028 | FY2029 | FY2030 | FY2031 |
|---|---|---|---|---|---|
| % Adoption | 10% | 26% | 50% | 70% | 80% |
| Total users | 262 | 682 | 1322 | 1846 | 2097 |
| New users | 262 | 420 | 640 | 524 | 251 |
| Avg. Employee Lifetime (Users) | 6.0 | 6.3 | 6.7 | 7.1 | 7.5 |
| *Retention* | *83%* | *84%* | *85%* | *86%* | *87%* |

| | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 |
|---|---|---|---|---|---|
| Productivity increase per active user | 10% | 12% | 14% | 17% | 20% |
| Gross margin per active user | 22% | 22% | 23% | 23% | 24% |

| Year User Joined / Retained Users | FY2026 | FY2027 | FY2028 | FY2029 | FY2030 |
|---|---|---|---|---|---|
| FY2027 | 262 | 218 | 182 | 152 | 126 |
| FY2028 | | 420 | 354 | 298 | 251 |
| FY2029 | | | 640 | 545 | 463 |
| FY2030 | | | | 524 | 450 |
| FY2031 | | | | | 251 |

| Year User Joined / Productivity Gain vs Base | FY2026 | FY2027 | FY2028 | FY2029 | FY2030 |
|---|---|---|---|---|---|
| FY2027 | $ 1,420,646 | $ 1,408,808 | $ 1,397,068 | $ 1,385,425 | $ 1,373,880 |
| FY2028 | | $ 2,276,652 | $ 2,282,030 | $ 2,287,420 | $ 2,292,823 |
| FY2029 | | | $ 3,470,642 | $ 3,513,958 | $ 3,557,814 |
| FY2030 | | | | $ 2,837,777 | $ 2,900,360 |
| FY2031 | | | | | $ 1,359,454 |

| TOTAL PRODUCTIVITY GAINS (000s) | 1,421 | 3,685 | 7,150 | 10,025 | 11,484 |
|---|---|---|---|---|---|

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# Operating Model

*Appendix D*

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| INCREMENTAL EBITDA (000s) | FY2026 | Projected FY2027 | FY2028 | FY2029 | FY2030 | FY2031 |
|---|---|---|---|---|---|---|
| Baseline projected revenue | € 837,313 | € 862,433 | € 888,306 | € 914,955 | € 942,403 | € 970,675 |
| Productivity gain (Existing workforce) | | € 1,421 | € 3,685 | € 7,150 | € 10,025 | € 11,484 |
| Productivity gain (New hires) | | € 3,877 | € 4,014 | € 4,155 | € 4,302 | € 4,454 |
| **INCREMENTAL GROSS PROFIT (PRODUCTIVITY)** | - | **€ 5,297** | **€ 7,699** | **€ 11,305** | **€ 14,326** | **€ 15,938** |
| Number of recruiting events | 0 | 6 | 6 | 6 | 6 | 6 |
| Cost per Event | € 5 | € 5 | € 5 | € 5 | € 5 | € 6 |
| *Rate of Inflation* | *2%* | *2%* | *2%* | *2%* | *2%* | *2%* |
| Recruiting event costs | | € 31 | € 31 | € 32 | € 32 | € 33 |
| Software licenses | | € 393 | € 1,023 | € 1,984 | € 2,769 | € 3,145 |
| Cloud hosting and infrastructure | | € 200 | € 200 | € 200 | € 200 | € 200 |
| Cybersecurity services | | € 500 | € 510 | € 520 | € 531 | € 541 |
| Technology operating costs | | € 1,093 | € 1,733 | € 2,704 | € 3,499 | € 3,886 |
| Total incremental operating costs | | € 1,124 | € 1,764 | € 2,736 | € 3,532 | € 3,919 |
| **INCREMENTAL EBITDA** | - | **€ 4,174** | **€ 5,935** | **€ 8,569** | **€ 10,795** | **€ 12,019** |
| Baseline EBITDA | | **€ 43,122** | **€ 44,415** | **€ 45,748** | **€ 47,120** | **€ 48,534** |
| *Baseline EBITDA Margin* | | *4.0%* | *5.0%* | *5.0%* | *5.0%* | *5.0%* |
| *Strategy EBITDA Margin* | | *5.5%* | *5.7%* | *5.9%* | *6.1%* | *6.2%* |

| CAPEX (000s) | FY2026 | Projected FY2027 | FY2028 | FY2029 | FY2030 | FY2031 |
|---|---|---|---|---|---|---|
| Microsoft Dynamics 365 Implementation | € 3,000 | € 1,000 | € 700 | € 700 | € 700 | € 700 |
| Data migration | € 1,000 | € 500 | | | | |
| Total Digital & IT | € 4,000 | € 1,500 | € 700 | € 700 | € 700 | € 700 |
| **TOTAL CAPEX** | **4,000** | **1,500** | **700** | **700** | **700** | **700** |
| Total depreciation & amortization expense | € 133.33 | € 307.78 | € 360.59 | € 383.22 | € 404.34 | € 424.05 |
| **INCREMENTAL EBIT** | **€ (133)** | **€ 3,866** | **€ 5,574** | **€ 8,186** | **€ 10,390** | **€ 11,595** |
| Baseline EBIT | **€ 35,167** | **€ 36,222** | **€ 37,309** | **€ 38,428** | **€ 39,581** | **€ 40,768** |
| *Baseline EBIT Margin* | *4.2%* | *4.2%* | *4.2%* | *4.2%* | *4.2%* | *4.2%* |
| *Strategy EBIT Margin* | *4.2%* | *4.6%* | *4.8%* | *5.1%* | *5.3%* | *5.4%* |

| TAX (000s) | FY2026 | Projected FY2027 | FY2028 | FY2029 | FY2030 | FY2031 |
|---|---|---|---|---|---|---|
| Unadjusted tax expense | | € - | € 997.43 | € 1,438.14 | € 2,112.05 | € 2,680.69 |
| Tax shields from depreciation | | € - | € (79.41) | € (93.03) | € (98.87) | € (104.32) |
| **INCREMENTAL NET INCOME** | | **€ (133)** | **€ 2,948** | **€ 4,229** | **€ 6,173** | **€ 7,814** |

| CASH FLOWS | FY2026 | Projected FY2027 | FY2028 | FY2029 | FY2030 | FY2031 |
|---|---|---|---|---|---|---|
| NOPAT | € - | € (133.33) | € 2,947.97 | € 4,229.07 | € 6,173.05 | € 7,813.89 |
| (+) D&A | € 133.33 | € 307.78 | € 360.59 | € 383.22 | € 404.34 | € 424.05 |
| (-) CAPEX | € 4,000.00 | € 1,500.00 | € 700.00 | € 700.00 | € 700.00 | € 700.00 |
| Unlevered FCF | € (3,866.67) | € (1,325.56) | € 2,608.57 | € 3,912.29 | € 5,877.39 | € 7,537.94 |
| Terminal value | | | | | | € 127,874.82 |

| | |
|---|---|
| **NPV** | **€ 13,833.90** |
| **IRR** | **47%** |
| **INCREMENTAL EQUITY VALUE** | **€ 109,646.51** |
| **PAYBACK PERIOD** | **3.6** |

| | |
|---|---|
| D&A Rate | 7% |

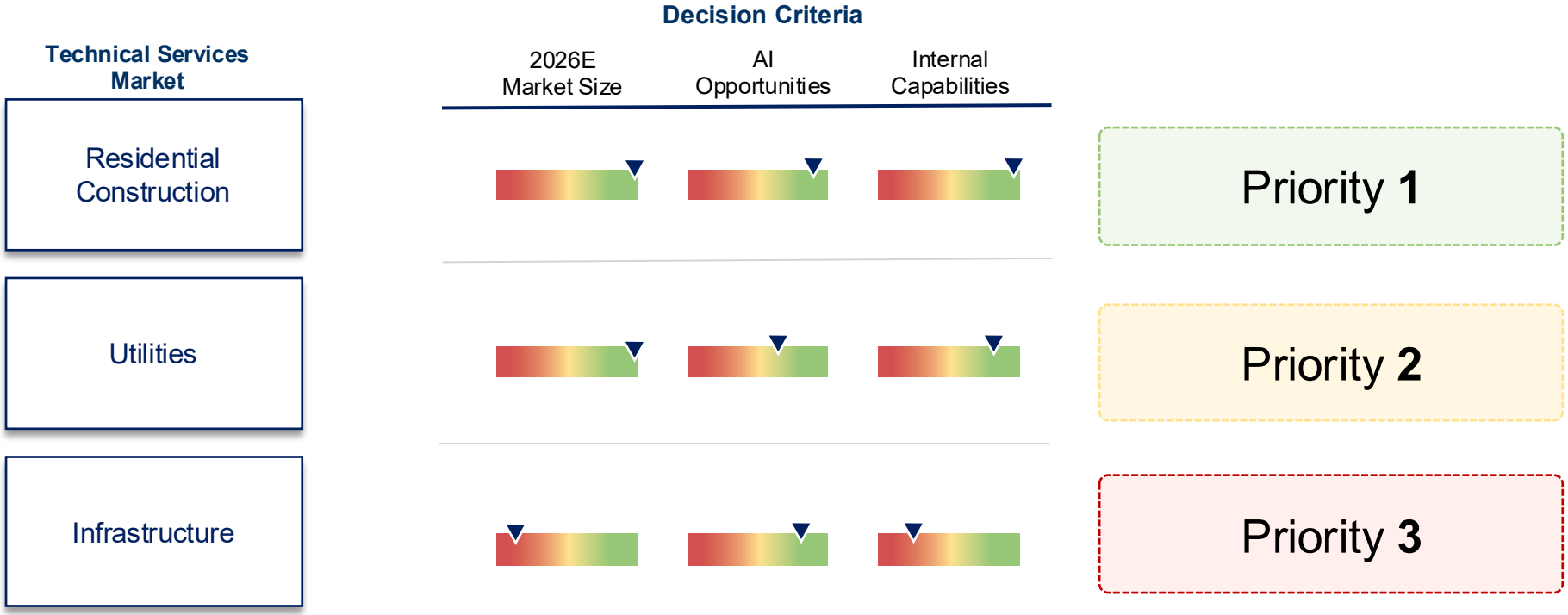
| | |
|---|---|
| Corporate tax rate | 25.8% |

| | |
|---|---|
| Cost of debt | 3% |
| Market-risk Premium | 4.80% |
| Risk-free rate | 3% |
| Industry average 5-year Beta | 1.1 |
| Cost of Equity | 8.3% |
| Capital Structure weight of Equity | 85% |
| Capital Structure weight of Debt | 15% |
| WACC | 7.5% |
| Terminal growth rate | 1.5% |

IGNITE CONSULTING

# Considering which technical service's market is best for CWD

*Alternative Solutions Analysis*




**Takeaway:** Joint highest market size, strong AI opportunities in efficiency gains in building management and preparation of job quotes, and best internal fit confirm the residential construction market as the top priority for AI expansion.

## Competitor Analysis (AI Adoption vs. Market Share)

